

Sustainability

Key achievements

Sustainability overview

Packaging for Good

Managing sustainability

People

Packaging

Supply chain

• Operations

Ethics and Compliance

Reporting principles and scope

Assurance statement

GRI content index

Energy consumption (GWh and %)

		2019		2018		2017	
Primary energy consumption	Gas	984	44%	912	42%	923	42%
	Oil	70	3%	79	4%	72	3%
	Coal	0	0%	0	0%	0	0%
	Renewable fuels	0	0%	0	0%	0	0%
Secondary energy consumption	Electricity	1,179	52%	1,177	54%	1,162	53%
	Share of renewable electricity	18	2%	53	4%	62	5%
	Other secondary energy	16	1%	15	1%	19	1%
Total energy consumption		2,249	100%	2,183	100%	2,177	100%

Other secondary energy: heating, cooling and steam combined due to small consumption. No energy sold. Units report energy consumption in a specific management system.

Type of energy used relatively stable, with increasing focus on renewable energy projects (302-1)

Huhtamaki uses both primary energy sources (fuel) and secondary energy (electricity and heat) in our operations. Our total energy consumption in 2019 increased to 2,249 GWh (2,183 GWh). Consumption of primary energy, which is mainly used in the drying process of recycled fiber-based packaging, was 1,054 GWh (991 GWh). Consumption of secondary energy in 2019 was 1,195 GWh (1,192 GWh). The main source of secondary energy was electricity, which accounted for 99% (99%) of the total consumption.

The share of renewable energy decreased to 1% (2%). However, in 2019 Huhtamaki invested in on-site solar energy in two countries. In India a PPA agreement was signed for the installation of rooftop solar panels at six manufacturing units. A similar agreement was signed by our manufacturing unit in Springs, South Africa. These initiatives will help to reduce our emissions and energy costs and increase the share of renewable energy.

In addition, Huhtamaki commissioned a report on renewable energy options for Huhtamaki on global level. The results of this report have been taken into account in the development of Huhtamaki’s sustainability ambitions towards 2030.

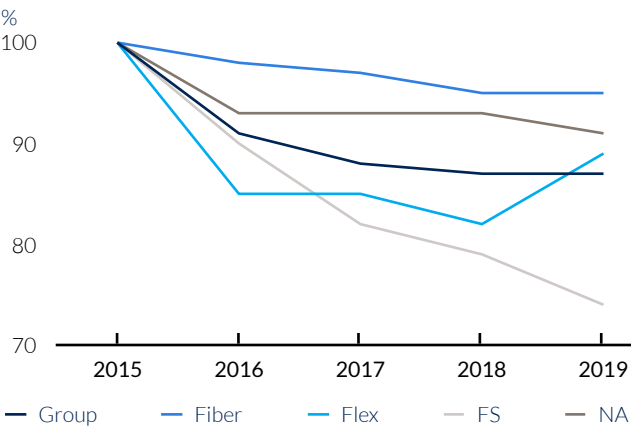
Natural Resource plan focuses on waste, climate, water and product innovation (Own KPI: Natural resource plan)

During 2019 we continued working on our Natural Resource Plan. Our aim is to use natural resources more efficiently so we can reduce negative impacts on the environment and improve our profitability as well as create positive impacts. We have taken a holistic view on our operations and products throughout their life cycles. In the on-going work we are resetting targets and complementing our key performance indicators. In 2019, we focused especially on improving the data visibility of our natural resource use, product innovation and related impacts. Another important theme was climate and we worked on this theme from operational and product perspectives.

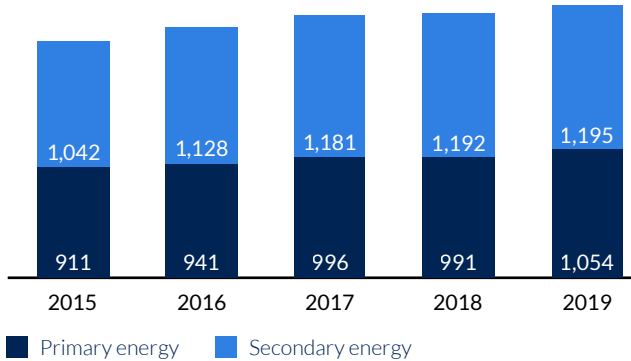
Energy efficiency remained stable (302-3, 302-4)

We are continuously looking for ways to reduce energy use and improve efficiency, for the benefit of our business and the environment. This is a core task of our Operational Excellence teams across the manufacturing units. There is a logical link between Operational Excellence and the Natural Resource Plan. As part of the Natural Resource Plan we have connected financial and consumption data

INDEXED ENERGY INTENSITY (MWh/STP)



TOTAL ENERGY CONSUMPTION (GWh)



Sustainability

Key achievements

Sustainability overview

Packaging for Good

Managing sustainability

People

Packaging

Supply chain

Operations

Ethics and Compliance

Reporting principles and scope

Assurance statement

GRI content index

related to natural resources (energy, water, materials, waste) and we visualized the flow of materials and costs, giving the business new ways of reducing consumption of natural resources and generating additional profit. The program is currently being tested in pilot manufacturing units to learn how to maximize its benefits. Based on the learnings from this pilot phase we plan to roll out this program more widely to support our local operational excellence projects.

In 2019 our energy efficiency remained stable compared to 2018. Energy consumption per sellable ton produced (STP) was 2.04 MWh/STP (2.04 MWh/STP). These numbers include all forms of energy used within Huhtamaki.

Reduced emissions when corrected for production volume

(305-1, 305-2, 305-4, 305-5)

Greenhouse gas (GHG) emissions are one of the main negative environmental impacts of our manufacturing operations. We continuously work to improve our energy efficiency to reduce emissions to air. Our manufacturing units are governed by applicable environmental permits, which set limits for emissions to air. Our most

significant emissions to air are carbon dioxide (CO₂) and volatile organic compounds (VOC).

Our absolute Scope 1 emissions increased in 2019 by 6% compared to 2018. Scope 1 emissions cover methane (CH₄) and nitrous oxide (N₂O) gases besides CO₂. Emissions are calculated based on reported fuel consumption and emission factors according to GHG Protocol/IEA 2018.

Our Scope 2 emissions stayed essentially flat in 2019 compared to 2018. The emissions are calculated according to a location-based method, based on reported secondary energy consumption and emission factors. Emissions factors are calculated according to GHG Protocol/IEA 2018. Due to updates of emission factors under IEA 2018, data of previous years for both Scope 1 and 2 emissions have slightly changed from 2018 report.

Our GHG intensity per sellable ton produced decreased by 1% in 2019 compared to 2018. Given the reduced energy intensity, we have reduced the GHG emissions by 8,000 metric tons of CO₂ equivalent compared to 2018 when corrected for the production volume. The emission intensity and reduction cover Scope 1 and Scope 2 emissions.

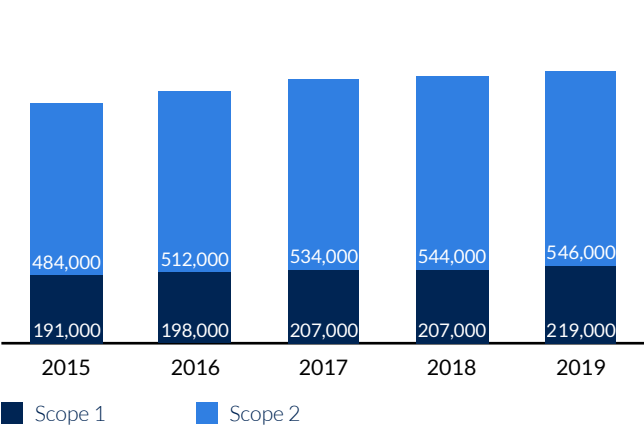
71% of total greenhouse gas emissions generated by our operations originate from purchased electricity. The indirect CO₂

emissions are highly dependent on the mix of the energy sources available in the operating countries' national energy grids.

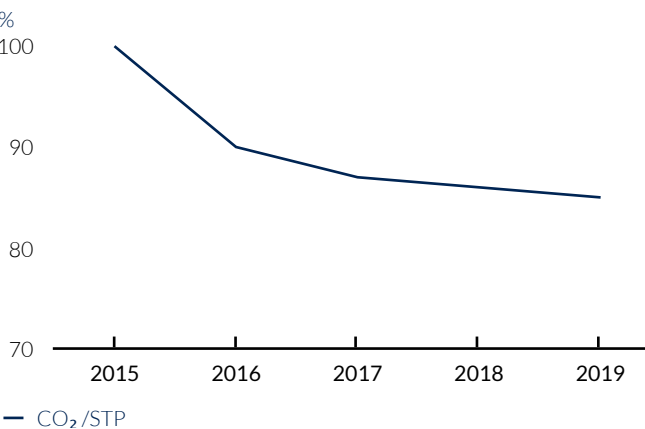
Our emissions of Volatile Organic Compounds (VOC) are mainly related to solvent-based printing inks. Our manufacturing units with recognizable VOC emissions typically have a VOC incinerator or a VOC recovery unit installed. The recovery system enables recycling and reuse of the solvent used in printing inks. We also use water-based printing inks, which are solvent free and do not result in VOC emissions (although they require greater use of energy for evaporation). In 2019, 16% (16%) of printing inks used in Huhtamaki were water- or oil-based.

One way to reduce emissions (apart from energy initiatives mentioned above) is to leverage digital tools to collaborate across the globe, thereby reducing the need to travel. We started a digital workplace initiative in 2018 and continued developing it in 2019. This involved redesigning our digital ways of working as well as renewing our digital collaboration tools, including online meeting and team work tools, instant messaging, email and intranet. During 2019, a total of 56,687 online meetings were organized in the company, an increase of 207% from the previous year.

TOTAL GREENHOUSE GAS EMISSIONS (METRIC TONS CO₂ EQV)



INDEXED GREENHOUSE GAS EMISSIONS INTENSITY (METRIC TONS CO₂ EQV)



Sustainability

Key achievements

Sustainability overview

Packaging for Good

Managing sustainability

People

Packaging

Supply chain

• Operations

Ethics and Compliance

Reporting principles and scope

Assurance statement

GRI content index

Building solid understanding of water risks helps to direct our efforts

(Huhtamaki’s own KPI: All plants in water stressed areas have a water management plan)

Even though we are not a heavy user of water, we aim to reduce our water usage and water related risks. Last year we renewed our approach to water risks with the latest version of the Aqueduct Water Risk Framework of the World Research Institute in order to better understand our water related risks on manufacturing unit level. We also built a Huhtamaki specific water management framework and water management plans with the help of external experts. We started pilot projects in few of our manufacturing units in 2019 and these will continue during 2020, with the aim of eventually creating water management plans for all our manufacturing units. The plans will include for example water usage and discharge as well as performance assessment and improvement.

Focusing on molded fiber production and water stressed areas

(303-1)

In our operations, water is mainly used in the manufacture of fiber packaging and as cooling water. The amount of water used in absolute terms is limited, but due to scarce water resources globally, we consider water as a material aspect in our Packaging for Good program.

Our freshwater intake in 2019 reduced significantly to 8.8 million m³ (9.5 million m³), mainly driven by continuous improvement project and cooler weather in North America compared to 2018. The water efficiency of Huhtamaki improved by 10%.

The most water-intensive business at Huhtamaki is molded fiber packaging manufacturing, however many of these manufacturing units have efficient water recirculation systems in place. Our manufacturing units are responsible for working together with stakeholders to address any water related issues.

Water withdrawal by source (million m³ and % of total)

	2019		2018		2017	
Surface water	4.1	47%	4.8	50%	4.4	49%
Ground water	1.1	12%	1.3	13%	1.1	13%
Municipal water supply	3.6	41%	3.5	37%	3.5	38%
Total	8.8	100%	9.5	100%	9.1	100%

Waste by type and disposal method (metric tons)

		2019	2018	2017	2016	2015
Non-hazardous waste	Landfill	37,000	20,000	21,000	18,000	18,000
	Recycling	143,000	157,000	149,000	131,000	113,000
	Energy recovery	13,000	13,000	13,000	16,000	16,000
Hazardous waste	Landfill	1,000	1,200	900	1,200	700
	Recycling	5,100	4,500	4,200	4,000	2,800
	Energy recovery	1,200	1,100	1,100	700	700
Total		200,300	196,800	189,200	170,900	151,200
Recycling rate (%)		74	82	81	79	76
Hazardous waste (% of total)		4	4	4	3	3

Recycling of waste impacted by temporary service provider issue

(306-2)

The main waste streams in our processes are cutting waste from paperboard packaging manufacturing, materials rejected during the fiber pulping process, and plastic waste. Cutting waste from our paperboard packaging manufacturing is either recycled as raw material for fiber packaging inside Huhtamaki or sent for external recycling. In general, material recovery refers to either internal or external recycling. The waste disposal method is determined on the manufacturing unit level based on the available infrastructure and type of waste.

Our total amount of waste increased by 2%, mainly driven by growth in our Flexible Packaging segment. The amount of hazardous waste represented 4% (4%) of the total waste amount. Hazardous waste was treated locally by dedicated hazardous waste handlers in line with local regulatory requirements.

The recycling rate declined to 74% (82%) due to a third-party waste processing company cancelling their contract with Huhtamaki in North America at short notice. This is a temporary issue which should not affect our long term trend of improving recycling rates.

Sustainability

Key achievements

Sustainability overview

Packaging for Good

Managing sustainability

People

Packaging

Supply chain

Operations

Ethics and Compliance

● Reporting principles and scope

Assurance statement

GRI content index

This Sustainability Report follows the same consolidation principles as Huhtamaki Financial Statements 2019 and covers all four reporting segments. In order to align them with Huhtamaki’s financial reporting principles, the GRI disclosures have not been reported by region, but certain indicators are reported per business segment.

In this report, metric tons are used as the mass unit. The 2019 environmental efficiency indicators for energy, greenhouse gas (GHG) emissions and water consumption per sellable ton produced exclude printing cylinder manufacturing and label units, which are part of the Flexible Packaging segment. Environmental data included in this Sustainability Report excludes the units that have been acquired during the reporting year 2019. Units closed during the reporting year 2019 are included in the data until their closing date.

The number of manufacturing units with certified quality, hygiene and safety management systems excludes units that were acquired in 2019 or closed during the reporting year.

The data on supply chain is based only on key suppliers of the North America business segment, due to the on-going transition period of our updated supply chain due diligence processes in other business segments. Each key supplier may consist of several business and/or legal units in different locations.

Code of Conduct training figures are not reported by region because this is not considered material.

Social indicators have not been reported by gender, age or region where the differentiation was not considered material. For employee data, we use the same age groups that are used in our internal reporting. Everest Flexibles (Pty) Limited, a flexible manufacturing unit acquired in South Africa at the end of 2019, is only included in the total headcount data as other data was not yet available in Huhtamaki’s reporting tool for 2019.

Data collection and measurement

The occupational health and safety data and environmental data are collected and monitored in a specific management system, where manufacturing units submit information regularly. The reporting frequency varies, and may be monthly, quarterly or annual. Other employee data is gathered from the HR information system.

The greenhouse gas emission calculations are based on guidelines provided by the Greenhouse Gas Protocol of the World Resource Institute and the World Business Council for Sustainable Development. The emission factors used for Scope 1 emissions are reported according to the GHG Protocol/IEA (2018), and for district heating and cooling according to GaBi (2019), which are both updated annually. Scope 2 emissions for purchased electricity are calculated using a location-based method, with national emission factors provided by the GHG Protocol/IEA (2018). Due to updates of emission factors under IEA 2018, data of previous years for both Scope 1 and 2 emissions have slightly changed from 2018 report.

The supply chain data is monitored by a risk assessment tool built for the purpose.

The data collection practices have been reviewed by DNV GL Business Assurance during the assurance process.

Sustainability

Key achievements

Sustainability overview

Packaging for Good

Managing sustainability

People

Packaging

Supply chain

Operations

Ethics and Compliance

Reporting principles and scope

• Assurance statement

GRI content index

Assurance statement

Independent Limited Assurance Report to the Management of Huhtamaki Oyj

Scope of Engagement

Huhtamaki Oyj ("Huhtamaki") commissioned **DNV GL Business Assurance Finland OY/AB** ("DNV GL") to conduct a limited assurance engagement over the performance indicators presented in the Huhtamaki Annual Report 2019 Sustainability section ("Report") for the reporting period 1st January to 31st December 2019.

Selected Information

The scope and boundary of our work is restricted to the key sustainability performance indicators and metrics included within the Report (the "Selected Information"), listed below:

- **GRI 102-8** Information on employees and other workers (number of)
- **GRI 102-41** Collective bargaining agreement (%)
- **GRI 205-1** Operations assessed for risks related to corruption
- **GRI 205-2** Communication and training about anti-corruption policies and procedures
- **GRI 301-1** Materials used by weight or volume (t)
- **GRI 301-2** Recycled input materials used (%)
- **GRI 302-1** Energy consumption within the organization (GWh)
- **GRI 302-3** Energy intensity (%)
- **GRI 302-4** Reduction of energy consumption (%)
- **GRI 303-1** Water withdrawal by source (m³)
- **GRI 305-1** Direct (Scope 1) greenhouse gas (GHG) emissions (tCO₂e)

- **GRI 305-2** Indirect (Scope 2) GHG emissions (tCO₂e)
- **GRI 305-4** Greenhouse gas emissions intensity (%)
- **GRI 305-5** Reduction of GHG emissions (%)
- **GRI 306-2** Waste by type and disposal method (t)
- **GRI 401-1** New employee hires and employee turnover (number of, %)
- **GRI 403-2** Type of injury and rates of injury, occupational diseases, lost days, and absenteeism, and total number of work-related fatalities (number of)
- **GRI 404-3** Percentage of employees receiving regular performance and career development reviews (%)
- **GRI 405-1** Diversity of governance bodies and employees (%)
- **GRI 416-1** Assessment of the health and safety impacts of product and service categories (%)
- **GRI 416-2** Incidents of non-compliance concerning the health and safety impacts of products and services (number of)

The location of the Selected information in the Report is specified in the GRI content index.

To assess the Selected Information, which includes an assessment of the risk of material misstatement in the Report, we have used Global Reporting Initiative's GRI Standards (2016) and Huhtamaki's reporting principles and scope, (the "Criteria", see pages 52–54).

We have not performed any work, and do not express any conclusion, on any other information that may be published in the Report or on Huhtamaki's website for the current reporting period.

Our conclusions

Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the Selected Information is not fairly stated and has not been prepared, in all material respects, in accordance with the Criteria. We believe that the Report is in line with the "Core" requirements of the GRI Standards.

This conclusion relates only to the Selected Information and is to be read in the context of this Assurance Report, in particular the inherent limitations explained below.

Standard and level of assurance

We performed a limited assurance engagement in accordance with the International Standard on Assurance Engagements (ISAE) 3000 revised – 'Assurance Engagements other than Audits and Reviews of Historical Financial Information' (revised), issued by the International Auditing and Assurance Standards Board. This standard requires that we comply with ethical requirements and plan and perform the assurance engagement to obtain limited assurance.

DNV GL applies its own management standards and compliance policies for quality control, in accordance with ISO/IEC 17021:2011 - Conformity Assessment Requirements for bodies providing audit and certification of management systems, and accordingly maintains a comprehensive system of quality control including documented

Sustainability

Key achievements

Sustainability overview

Packaging for Good

Managing sustainability

People

Packaging

Supply chain

Operations

Ethics and Compliance

Reporting principles and scope

• Assurance statement

GRI content index

policies and procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less detailed than those undertaken during a reasonable assurance engagement, so the level of assurance obtained is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. We planned and performed our work to obtain the evidence we considered sufficient to provide a basis for our opinion, so that the risk of this conclusion being in error is reduced, but not reduced completely.

Basis of our conclusion

We are required to plan and perform our work in order to consider the risk of material misstatement of the Selected Information; our work included, but was not restricted to:

- Assessing the appropriateness of the Criteria for the Selected Information;
- Conducting interviews with Huhtamaki’s management to obtain an understanding of the data management systems and processes used to generate, aggregate and report the Selected Information;
- Physical site visits to review processes and systems for preparing site level data consolidated at Head Office at:
 - Huhtamaki Flexible Packaging: Silvassa, India,
 - Huhtamaki Foodservice E-A-O: Nules, Spain, and
 - Huhtamaki North America: Albertville, Alabama, US.

DNV GL was free to choose the sites on the basis of materiality;

- Reviewing data at source and following this through to consolidated Group data;
- Reviewing whether the evidence, measurements, and scope of the Selected Information is prepared in accordance with the Criteria; and
- Reviewing the Report and narrative accompanying the Selected Information in the Report with regard to the Criteria.
- Evaluation of the disclosed information in the Report for ‘in accordance’ – Core reporting requirements of GRI Standards.

Inherent limitations

Our assurance relies on the premise that the data and information provided by Huhtamaki to us as part of our review procedures have been provided in good faith. Because of the selective nature (sampling) and other inherent limitations of both procedures and systems of internal control, there remains the unavoidable risk that errors or irregularities may not have been detected. Energy use data utilized in GHG emissions calculations are subject to inherent limitations, given the nature and the methods used for determining such data. Finally, the selection of different but acceptable measurement techniques may result in materially different measurements.

DNV GL expressly disclaims any liability or co-responsibility for any decision a person or an entity may make based on this Independent Assurance Report.

Our competence, independence and quality control

DNV GL established policies and procedures are designed to ensure that DNV GL, its personnel and – where applicable – others are subject to independence requirements (including personnel of other entities of DNV GL) maintain independence where required by relevant ethical requirements. This engagement work was carried out by an independent team of sustainability assurance professionals, whose members have not been involved in the development of any of the Criteria. Our multi-disciplinary team consisted of professionals with a combination of environmental and sustainability assurance experience.

Responsibilities of the Management of Huhtamaki and DNV GL

The Management of Huhtamaki have sole responsibility for:

- Preparing and presenting the Selected information in accordance with the Criteria;
- Designing, implementing and maintaining effective internal controls over the information and data, resulting in the preparation of the Selected Information that is free from material misstatements;

- Measuring and reporting the Selected Information based on their established Criteria; and
- Contents and statements contained within the Report and the Criteria.

Our responsibility is to plan and perform our work to obtain limited assurance about whether the Selected Information has been prepared in accordance with the Criteria and to report to Huhtamaki in the form of an independent limited assurance conclusion, based on the work performed and the evidence obtained. We have not been responsible for the preparation of the Report.

For and on behalf of DNV GL Business Assurance Finland OY/AB Espoo, Finland

3rd February 2020

Mikael Niskala
Lead Auditor
DNV GL – Business Assurance

Souvik Kumar Ghosh
Principal Consultant and Reviewer
DNV GL – Business Assurance

- Sustainability
- Key achievements
- Sustainability overview
- Packaging for Good
- Managing sustainability
- People
- Packaging
- Supply chain
- Operations
- Ethics and Compliance
- Reporting principles and scope
- Assurance statement
- GRI content index

GRI standards		Location, comments and omissions	SDG
Reporting practice			
102-45	Entities included in the consolidated financial statements	Annual Report p. 76	
102-46	Defining report content and topic Boundaries	13, 53	
102-47	List of material topics	13, 53	
102-48	Restatements of information	53	
102-49	Changes in reporting	13, 14, 53	
102-50	Reporting period	53	
102-51	Date of most recent report	53	
102-52	Reporting cycle	53	
102-53	Contact point for questions regarding the report	Back cover	
102-54	Claims of reporting in accordance with the GRI Standards	53	
102-55	GRI content index	57	
102-56	External assurance	53, 55	
GRI 103: Management approach 2016			
103-1	Explanation of the material topic and its Boundary	13, 53, 54	
103-2	The management approach and its components	12, 14	2, 5, 6, 8, 9, 12, 13, 14, 15, 16, 17
103-3	Evaluation of the management approach	12	
GRI 200 Economic standards			
GRI 205: Anti-Corruption 2016			
205-1	Operations assessed for risks related to corruption	50	16
205-2	Communication and training about anti-corruption policies and procedures	50	16
GRI 300 Environmental standards			
Huhtamaki's own KPI	Natural Resource Plan	43, 46, 47	6, 8, 12, 13, 14, 15
GRI 301: Materials 2016			
301-1	Materials used by weight or volume	42	8, 12, 15
301-2	Recycled input materials used	42	8, 12, 15
GRI 302: Energy 2016			
302-1	Energy consumption within the organization	43	8, 9, 12, 13
302-3	Energy intensity	43, 44	8, 9, 12, 13
302-4	Reduction of energy consumption	43, 44	8, 9, 12, 13
GRI 303: Water 2016			
303-1	Water withdrawal by source	45	6, 12, 14
Huhtamaki's own KPI	All plants in water stressed areas have a water management plan	45	6, 12, 14

Sustainability

Key achievements

Sustainability overview

Packaging for Good

Managing sustainability

People

Packaging

Supply chain

Operations

Ethics and Compliance

Reporting principles and scope

Assurance statement

- GRI content index

GRI standards		Location, comments and omissions	SDG
GRI 305: Emissions 2016			
305-1	Direct (Scope 1) GHG emissions	44	9, 12, 13, 14, 15
305-2	Energy indirect (Scope 2) GHG emissions	44	9, 12, 13, 14, 15
305-4	GHG emissions intensity	44	9, 12, 13, 14, 15
305-5	Reduction of GHG emissions	44	9, 12, 13, 14, 15
GRI 306: Effluents and Waste 2016			
306-2	Waste by type and disposal method	45	6, 12, 13, 14, 15
GRI 400 Social standards			
Huhtamaki's own KPI	Community programs in place on site level and Group level	23	17
GRI 401: Employment 2016			
401-1	New employee hires and employee turnover	23	5, 8
Huhtamaki's own KPI	Employee engagement index	23, 26	8
GRI 403: Occupational health and safety 2016			
403-2	Types of injury and rates of injury, occupational diseases, lost days, and absenteeism, and number of work-related fatalities	22	8
Huhtamaki's own KPI	Huhtamaki Group Lost Time Incident Rate	22	8
GRI 404: Training and education 2016			
404-3	Percentage of employees receiving regular performance and career development reviews	23	5, 8
GRI 405: Diversity and Equal Opportunity			
405-1	Diversity of governance bodies and employees	21	5, 8
GRI 414: Supplier social assessment 2016			
Huhtamaki's own KPI	Supply chain due diligence system in place covering ethical, social and environmental criteria	36, 37, 38	5, 8
Huhtamaki's own KPI	All fiber sourced from recycled or certified sustainable sources	39, 40	8, 12, 13, 15
GRI 416: Customer Health and Safety 2016			
416-1	Assessment of the health and safety impacts of product and service categories	28, 29	2
416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	29	2
Huhtamaki's own KPI	Zero food contact compliance related claims reported	29	2
Huhtamaki's own KPI	All our products comply with Huhtamaki's Global Food Safety Policy	28, 29	2
Huhtamaki's own KPI	Product innovation	29, 30, 31, 33, 34	2, 12, 13

www.huhtamaki.com
communications@huhtamaki.com

Huhtamäki Oyj
Revontulenkujä 1
FI-02100 Espoo, Finland
T +358 (0)10 686 7000
F +358 (0)10 686 7992
Business Identity Code: 0140879-6

Huhtamäki